

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$123.33 ▼ 1.11%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.86	Market Cap \$110.88B
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HOOD: Tokenization Fight Heats Up, Stock Digests Rally

WHAT HAPPENED

- Stock ripped 17% on Sept 3 (from \$107 to \$125) on massive volume — 51M shares, roughly 3x normal. That's institutional-scale buying, not retail chatter. Today it's giving back 1% which is healthy digestion after a monster move.
- AMC's CEO Adam Aron went nuclear on Robinhood's tokenized stock offerings, threatening an SEC complaint. Translation: HOOD is letting people trade blockchain-based versions of stocks (basically digital wrappers around real equities), and legacy CEOs hate it because it bypasses their control. The market treated this as validation that HOOD is disrupting something real.

WHY IT MATTERS

The AMC blowup is actually bullish signaling — when incumbents scream "call the SEC," it usually means the disruptor is winning mindshare. Under the current crypto-friendly SEC (post-Gensler era), tokenized equities are far more likely to get a regulatory green light than a smackdown, which means HOOD is building a moat in a product category traditional brokers can't easily copy. The 51M-volume rip on Sept 3 combined with a 0.38 put/call ratio (meaning options traders are betting 2.6x more on the stock going up than down) tells me smart money is positioning for continued upside. But at \$123 with a \$111B market cap, HOOD is now trading at roughly 26x forward revenue — you're paying for perfection, so any wobble in crypto volumes or a hostile regulatory headline could trigger a fast 15% pullback.

POLICY & POLITICAL WATCH

The big one: the CLARITY Act and related crypto market structure legislation working through Congress would formally hand jurisdiction over most digital assets to the CFTC (a friendlier regulator for crypto) rather than the SEC — that's a direct tailwind for HOOD's crypto and tokenization business. Separately, watch for SEC guidance on tokenized securities; if the agency issues a no-action letter or formal framework blessing tokenized equities, HOOD's first-mover position becomes a multi-year moat. The risk on the other side is a state-level pushback (New York and California have been aggressive) or a payment-for-order-flow rule change, which has been floated periodically and would hit HOOD's core revenue engine.

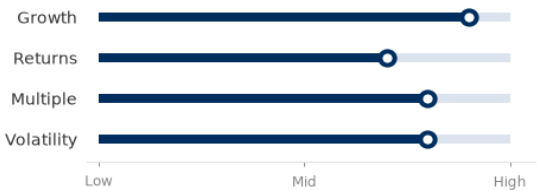
IS IT EXPENSIVE?

At \$123, you're paying roughly \$26 for every \$1 of expected 2026 revenue — that's expensive versus Schwab at around \$8 and Interactive Brokers at around \$12. The bull case is HOOD is growing revenue ~40%+ while the incumbents grow single digits, and they're pioneering tokenization which could add a whole new revenue line. But the stock has more than doubled from its 52-week low of \$63, so you're buying momentum, not value here.

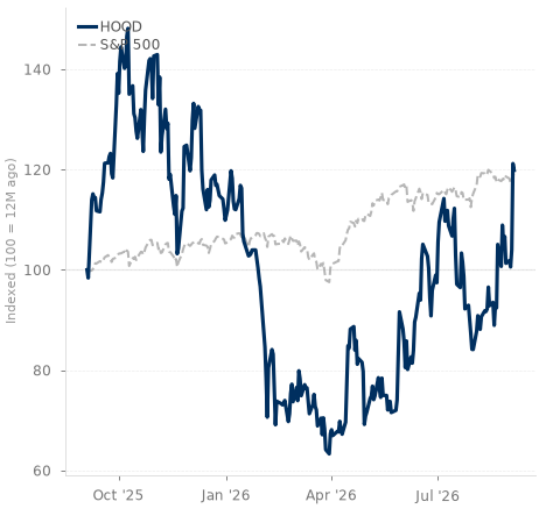
Key Data

Price (USD)	\$123.33
12M Price Target	\$135.00
Upside / (Downside)	+9.5%
Market Cap	\$110.88B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	66.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$125.00	\$108.00
6 Months	\$165.00	\$135.00	\$95.00
1 Year	\$190.00	\$145.00	\$85.00
2 Years	\$240.00	\$175.00	\$75.00
5 Years	\$350.00	\$230.00	\$60.00
10 Years	\$600.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+0.62%) and anything crypto/fintech-adjacent, driven by expectations of crypto-friendly legislation and continued retail engagement. Financials with digital assets exposure are the sweet spot.

COOLING OFF: Consumer staples (-0.32%) and defensive sectors — classic "risk-on" tape where investors don't want boring cash-flow names.

ROTATION WATCH: Money is flowing into disruptive fintech and crypto plays as Washington signals a friendlier digital asset regime. That's a direct tailwind for HOOD and Coinbase.

RELATED PLAY: If tokenization takes off, the picks-and-shovels winners are the blockchain infrastructure providers — think Coinbase (COIN) for custody, and stablecoin issuers benefiting from settlement rails.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory tailwind and benefits directly from tokenized asset settlement volume.
- SCHW (Charles Schwab): IBD flagged it near a buy zone — legacy broker with scale, catching a bid as rates and retail activity stay healthy.

HOOD CONTEXT: HOOD is leading the pack — up nearly 100% from 52-week lows and outpacing Schwab and IBKR (which just triggered a sell signal per IBD). That leadership means HOOD is the market's preferred way to play the theme, but it also means it'll be the first to get hit if sentiment turns.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the story and the policy tailwinds, but the stock ran 17% in a day and now needs to grow into its valuation.

POSITION SIZE: 2-4% of portfolio — the upside is real but volatility is high, so don't oversize.

ENTRY POINTS: I'd wait for a pullback to \$105-110 rather than chase the breakout at \$123. If it holds above \$115 on a retest, that's your confirmation.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is formal SEC/CFTC clarity on tokenized securities and Q4 crypto volume data.

WHEN TO BAIL: If crypto trading revenue drops more than 25% quarter-over-quarter, or if the SEC issues a hostile ruling on tokenized equities, I'm out.

HEDGING: Buy a put option 10-15% below your entry as insurance — think of it as paying a small premium so a big drop doesn't wreck your position. Or pair the trade by shorting a more expensive fintech peer to isolate the HOOD-specific upside.